SkillNavora

AI AND COST

# Tokens, Pricing and Tokenization

What a token is, what each Claude model costs, a worked example and an app-builder example.

**Learn how tokens are counted, priced and reduced.**

Varun Kumar · SkillNavora · skillnavora.in
Edition: November 2026. Links point to official sites; check them before you share.

# Tokens, Pricing and Tokenization

This handbook explains what a token is, how models read it, how you are charged, and how to choose between Haiku, Sonnet, Opus and Fable. It also shows a worked example from an AI app builder such as Lovable.

## 1. What is a token?

> A token is a small piece of text that a language model reads or writes. A short common word is usually one token; a long or unusual word can be several. Spaces, punctuation and numbers also count.

### HOW TOKENIZATION WORKS

Before a model reads your text, a tokenizer splits it into tokens. The split depends on the model's tokenizer, so the same sentence can produce different counts on different models. You can count exactly with the official token-counting endpoint before you send a request.

> Example: the sentence "Build a login page." is about 6 tokens: "Build", " a", " login", " page", "." and the newline or padding that the API adds. Count your real text, not this estimate.

### INPUT AND OUTPUT TOKENS

- **Input tokens** are everything you send: your instruction, the system prompt, the files you attach, and the earlier messages in the conversation.
- **Output tokens** are everything the model writes back: the answer, the code, or the explanation.

Output is usually priced higher than input. Long chats cost more each turn because the earlier messages are sent again with each new request.

## 2. How the price is calculated

> Cost = (input tokens / 1,000,000 × input price) + (output tokens / 1,000,000 × output price). Prices are per million tokens.

## 3. Current prices by model

The prices in this table were recorded from the Anthropic pricing page on 3 November 2026. Prices change; check the live page before you budget. Source: https://platform.claude.com/docs/en/about-claude/pricing

| Model | Model ID | Input per million tokens | Output per million tokens | What it is for |
|---|---|---|---|---|
| Claude Fable 5.2 | claude-fable-5-2 | $8.00 | $40.00 | Most capable widely released model. Use for the hardest reasoning and long agentic work. |
| Claude Opus 5.5 | claude-opus-5-5 | $4.00 | $20.00 | The default Opus model: strong reasoning and coding at a lower price than Fable. |
| Claude Opus 5 | claude-opus-5 | $5.00 | $25.00 | Previous Opus generation; kept for existing use. |
| Claude Sonnet 5.5 | claude-sonnet-5-5 | $2.00 | $10.00 | Balanced speed and capability for everyday coding, agents and enterprise work. |

| | | | | |
|---|---|---|---|---|
| Claude Haiku 5.5 | claude-haiku-5-5 | $0.10 | $0.50 | Fastest and cheapest. Prices shown are for prompts up to 100K tokens; higher above that. |
| Claude Haiku 4.5 | claude-haiku-4-5 | $1.00 | $5.00 | Earlier small model, 200K context. |

## 4. Worked example: what one request costs

Sample request: 2,000 input tokens and 1,000 output tokens. Costs are per request and per 1,000 requests.

| Model | Cost of one request | Cost of 1,000 requests |
|---|---|---|
| Claude Fable 5.2 | $0.0560 | $56.00 |
| Claude Opus 5.5 | $0.0280 | $28.00 |
| Claude Opus 5 | $0.0350 | $35.00 |
| Claude Sonnet 5.5 | $0.0140 | $14.00 |
| Claude Haiku 5.5 | $0.0007 | $0.70 |
| Claude Haiku 4.5 | $0.0070 | $7.00 |

Haiku 5.5 prices above apply to prompts up to 100K tokens. Batch processing is priced at half price for jobs that do not need an instant answer. Prompt caching makes repeated context cheaper to re-send.

## 5. Haiku, Sonnet, Opus or Fable: which to use

- **Haiku 5.5**: fast and cheapest. Use for classification, extraction, short replies, routing and high-volume tasks. Test quality on your own examples first.
- **Sonnet 5.5**: the balanced choice for everyday coding, agents and business tasks where quality and cost both matter.
- **Opus 5.5**: stronger reasoning and coding for harder tasks at a higher price.
- **Fable 5.2**: the most capable widely released model, for the hardest reasoning and long agentic work. It has the highest price in this table.

Start with the cheapest model that passes your own test set. Move up only when a measured quality gap justifies the higher cost.

## 6. Ways to use fewer tokens

- Keep instructions short and specific; remove repeated text.
- Start a new chat for each new feature so old messages are not resent every turn.
- Cap the output length when you only need a short answer.
- Use prompt caching for long, unchanged context such as a product manual.
- Use batch processing for reports and overnight jobs that do not need instant answers.
- Count tokens before you send a long document.

## 7. Example: an AI app builder (Lovable-style)

You ask an AI app builder to "add a login page and a 'forgot password' link". The request uses tokens in three places:

1. **Input:** your new message, the app's current code and design context that the builder sends with it, and the earlier messages in the chat.
2. **Output:** the code changes the builder writes back, which can be long for a whole page.
3. **Credits:** the builder's own plan may charge credits per action or per message. Those credits are a separate charge from the model's per-token price. Check Lovable's current pricing on its own site.

> Practical rule: keep one chat per feature, ask for one change at a time, and review the diff before you accept it. Smaller, focused requests use fewer tokens and are easier to debug.

This is the same reasoning you use when you see the model prices above: the longer the context and the longer the output, the higher the cost.

## 8. Tokenization exercise

1. Paste a 500-word product brief into the token-counting endpoint, then count it again after you cut it to 250 words.
2. Compute the monthly cost for 2,000 requests a day, each with 3,000 input and 400 output tokens, on Haiku 5.5 and on Sonnet 5.5.
3. Choose one model for a customer-support summary bot and justify the choice with cost and quality measures.

## 9. Official links to learn more

- Anthropic pricing (official, per million tokens)
- Models overview: IDs, context windows, capabilities (official)
- Token counting: count tokens before you send (official)
- Prompt caching: pay less for repeated context (official)
- Batch processing: half price for offline jobs (official)
- Cost optimisation guidance (official)
- Lovable documentation (check Lovable's own credit pricing on its site)